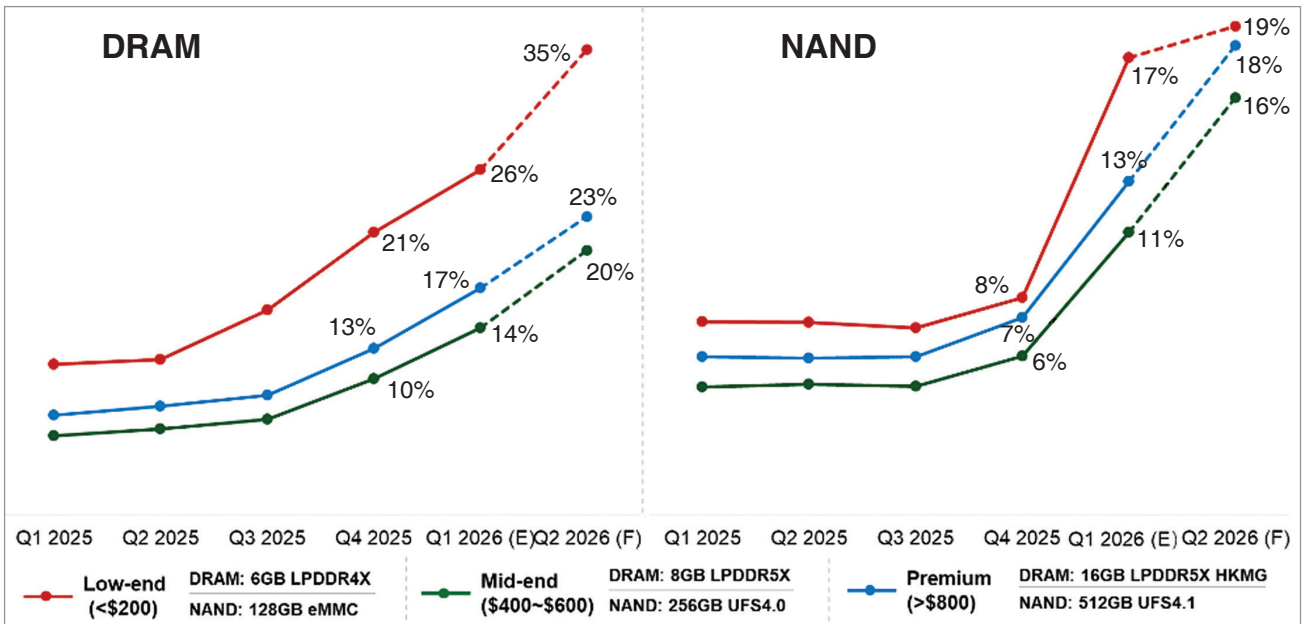




DRAM prices for low-end devices are projected to rise from 21% in Q4 2025 to 35% by Q2 2026, while NAND prices are projected to increase from 17% to 19%, reflecting AI-driven memory demand (Source: Counterpoint Research)

already seeing the impact, particularly in the budget segment, with supply constraints expected to persist well into 2027.

Ajay Sharma, a veteran of India's consumer electronics industry, believes the shortage is not caused by lower production but by a shift in allocation.

"Production has not reduced. It is being diverted towards AI infrastructure," Sharma told EFY in an exclusive conversation.

"Manufacturers such as Samsung, SK Hynix, and Micron naturally prefer supplying higher-value AI servers because profitability is significantly higher than for smartphones or laptops. When production is limited, the category with higher margins and long-term contracts gets priority."

Pressure reaches the Indian market

Although the supply imbalance is global, Sharma says Indian consumers are now experiencing its consequences.

"DRAM and NAND are part of the bill of materials of every smartphone, laptop, and consumer electronic product," he says. "When their prices rise, manufacturers have little option

but to pass on those costs."

The impact appears to be most visible in smartphones, where memory accounts for a substantial share of manufacturing costs.

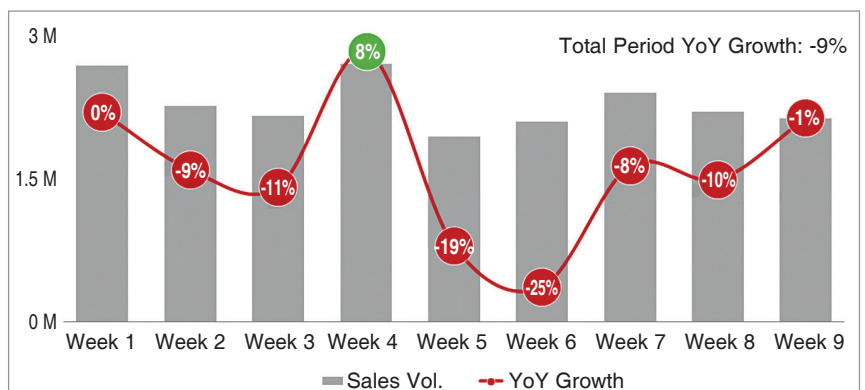
The data support this trend. According to Counterpoint, by March 2026, India's smartphone market had begun slowing, with weekly retail sales declining by around nine per cent during the first few weeks of the year. Retailers have also reported softer consumer demand as device prices increase.

The slowdown is reflected in International Data Corporation (IDC) data as well. India's smartphone shipments declined 4.1 per

cent year-on-year during the first quarter of 2026, with entry-level devices recording the steepest fall. Smartphones priced below US\$100 declined by nearly 59 per cent, while premium and upper mid-range segments continued to grow.

The reason for this discrepancy, according to Sharma, is that lower-priced devices have a higher proportion of memory costs.

"This means that although the cost of a DRAM or NAND chip does not vary much whether it is used in a ₹15,000 phone or a ₹30,000 phone, memory can represent a significantly higher share of the total cost of entry-level devices. The margins for brands



The decrease in smartphone sales in India during the first nine weeks of 2026 (Source: Counterpoint Research)